

The paradox of value



Why is it that a glass of water, so vital to life, is worth hardly anything, whereas a diamond, which has no practical use, is so valuable? This is the so-called paradox of value, discussed by philosophers and economists down the ages, and perhaps most notably by the 18th-century Scottish economist Adam Smith. The paradox can be resolved with the concept of 'marginal utility'.

Utility is the pleasure or well-being from the consumption of a good such as a grape (see [Utility](#)). Marginal utility is the pleasure that is gained from an extra unit of consumption, so if I eat five grapes the marginal utility is the extra pleasure I received from the fifth grape. Marginal utility tends to decline: the fifth grape probably gave me less extra utility than did the first. Because diamonds are so scarce, their marginal utility is very high and they therefore have a high value. In contrast, because water is

readily available in most parts of the world, the marginal utility of an extra drop is much lower.